move around (the so-called inflation risk premium), thus raising the cost of finance. The long-term nominal (and real) interest rates savers require rise, thus making some long-duration projects prohibitively costly.

These effects kick in only when inflation is noticeably high. So it is legitimate to ask, 'At what threshold level of inflation does it start hurting growth?' Unfortunately, this question is hard to answer – developing countries typically have higher inflation, and developing countries also have higher growth. So one might well find a positive correlation between inflation and growth, though this does not mean more inflation causes more growth. For this reason, the literature on estimating threshold effects beyond which inflation hurts growth is both vast as well as inconclusive. Most studies find that double-digit inflation is harmful for growth but are fuzzier about where in the single digits the precise threshold lies.

THE INFLATION TARGET

Nevertheless, given the limited evidence, why do most countries set their inflation target in the low single digits – 2 to 5 per cent rather than 7 to 10 per cent? Three reasons come to mind. First, even if inflation is at a moderate level that does not hurt overall growth, the consequences of inflation are not evenly distributed. While higher inflation might help a rich, highly indebted, industrialist because his debt comes down relative to sales revenues, it hurts the poor daily wage worker, whose wage is not indexed to inflation. Second, higher inflation is more variable. This raises the chance of breaching any given range around the target if it is set at a higher level. To the extent that a higher target is closer to the threshold where the consequences on growth are adverse, this makes it more likely the country will exceed the threshold and experience lower growth. Third, inflation